8. A, B and C are partners sharing profits in the ratio of 2:2:1. On retirement of B, goodwill of the firm was valued as ₹ 30,000. Find the contribution of A and C to compensate B:

(a) ₹ 20,000 and ₹ 10,000 (b) ₹ 8,000 and ₹ 4,000

(c) ₹ 10,000 and ₹ 20,000 (d) ₹ 15,000 and ₹ 15,000

9. A, B and C are partners sharing profits in the ratio of 4:2:3. C retires. The new profit sharing ratio between A and B will be

(a) 4:3 (b) 3:4 (c) 2:1 (d) 1:2

10. X, Y and Z were partners sharing profits and losses equally. X died on 1st April 2019. Find out the share of X in the profit of 2019 based on the profit of 2018 which showed ₹ 36,000.

(a) ₹ 1,000 (b) ₹ 3,000 (c) ₹ 12,000 (d) ₹ 36,000

Answers

1 (c)	**2(b)**	**3(a)**	**4(b)**	**5 (c)**	**6(c)**	**7(d)**	**8(b)**	**9(c)**	**10(b)**

II. Very short answer questions

1. What is meant by retirement of a partner?
2. What is gaining ratio?
3. What is the purpose of calculating gaining ratio?
4. What is the journal entry to be passed to transfer the amount due to the deceased partner to the executor of the deceased partner?

III Short answer questions

1. List out the adjustments made at the time of retirement of a partner in a partnership firm.
2. Distinguish between sacrificing ratio and gaining ratio.
3. What are the ways in which the final amount due to an outgoing partner can be settled?

IV Exercises

Retirement of a partner

Distribution of accumulated profits, reserves and losses

1. Dheena, Surya and Janaki are partners sharing profits and losses in the ratio of 5:3:2. On 31.3.2018, Dheena retired. On the date of retirement, the books of the firm showed a reserve fund of ₹ 50,000. Pass journal entry to transfer the reserve fund.

(Answer: Reserve fund: Dheena: ₹ 25,000(Cr.); Surya: ₹ 15,000 (Cr.); Janaki: ₹ 10,000 (Cr.))

2. Rosi, Rathi and Rani are partners of a firm sharing profits and losses equally. Rathi retired from the partnership on 1.1.2018. On that date, their balance sheet showed accumulated loss of ₹ 45,000 on the asset side of the balance sheet. Give the journal entry to distribute the accumulated loss.

(Answer: Rosi: ₹ 15,000(Dr.); Rathi: ₹15,000 (Dr.); Rani: ₹ 15,000 (Dr.))

12th-Accountancy-Unit-06.indd 216 1/4/2020 12:04:02 PM